

THE LOAN PROCESS

Though you've already done a lot of work to get preapproved, the loan process doesn't actually start until you are under contract on a property. Now that things are official, your loan will be underwritten—basically, a team of people working for your lender will look into your finances and prospective property and decide if they will extend a loan. Your offer contract should have stated a deadline by which you must apply for the loan. Make sure you're working with your lender before this deadline passes, or you could be in breach of contract.

Remember, absolutely no financial monkey business is allowed until your loan closes. Every real estate agent has a horror story about that one client who charged a house full of furniture to their credit card two weeks before closing, resulting in the loss of the loan and the house falling out of contract.

Don't be that person.

Financial monkey business includes but is not limited to:

1. Opening new lines of credit (credit cards or loans of any type)
2. Buying a new car. Yes, cars die and need to be replaced, but hold off on buying one if humanly possible. Definitely check in with your lender if you *must* buy a new car before closing.
3. Changing jobs. It's best to stay where you are through the purchase process, so you'll just have to deal with Betty in Accounting for another few weeks or months before jumping ship.
4. Missing payments on anything, especially bills that get reported to credit bureaus.
5. In fact, the entire time you are looking for a house and going through the loan process, try to spend as little as you can. Save the extra money for unexpected expenses during the transaction.

Okay, back to the lending process. You've sent in your documents and contract, and there's not a hint of financial monkey business to be seen. Underwriting will take the duration of the thirty- to forty-five-day contract window, and then your loan will either be approved, rejected, or approved with conditions—for example, pending the review of additional documents to explain some gaps in your application.